policy stance, and tinkering with estimates for growth and inflation would erode the credibility of the Reserve Bank.

Another constant source of friction used to be the position taken by the Reserve Bank on the government's fiscal stance. The government's large fiscal deficit was one of the prime drivers of inflation, and its inability to roll back expenditure undermined the Reserve Bank's anti-inflation stance. There was no way the Reserve Bank could tell a credible inflation story without pointing this out. The finance ministry used to be irritated by the Reserve Bank making an issue out of its fiscal stance, and Pranab Mukherjee was always miffed about it; he clearly showed it even though he never said anything. But for me, skirting around this issue was neither appropriate nor advisable.

It was my standard practice to apprise the prime minister too of our statement on the government's fiscal stance. He understood the economic logic but always seemed uncomfortable with the Reserve Bank pointing it out. He never intervened directly with me, but in early 2012, he told Rangarajan, the chairman of his Economic Advisory Council and my former boss when I was secretary to the council, to convey to me that he did not expect Subbarao, 'who was finance secretary in the government and understood its political compulsions' to take such a strident stand on the fiscal stance. I certainly had sympathy for this point of view but was unwilling and unable to show any accommodation.

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Curiously, the eurozone sovereign debt crisis and the debate it triggered on fiscal austerity provided fresh ammunition to the government to contend that fiscal deficits were not as bad as they were projected to be. Although this debate did not play out much in the public space, it turned out to be a contentious issue between the ministry of finance and the Reserve Bank, and warrants telling if only to illustrate the pitfalls of transposing arguments from one context to another without checking about applicability.